

later that this insider, a member of the founding family of La Quinta, was simply diversifying his portfolio.)

Fortunately I reminded myself that insider selling is a terrible reason to dislike a stock, and then I bought as much La Quinta as possible for Magellan fund. I made elevenfold on it over a ten-year period before it suffered a downturn due to declining fortunes in the energy-producing states. Recently the company has become an exciting combination of asset play and turnaround.

BILDNER'S, ALAS

The mistake I didn't make with La Quinta I made with J. Bildner and Sons. My having invested in Bildner's is a perfect example of what happens when you get so caught up in the euphoria of an enterprise that you ask all the questions except a most important one, and that turns out to be the fatal flaw.

Bildner's is a specialty food store located right across the street from my office on Devonshire in Boston. There was also a Bildner's out in the town where I live—although it's gone now. Among other things, Bildner's sells gourmet sandwiches and prepared hot foods, a sort of happy compromise between a convenience store and a three-star restaurant. I'm well-acquainted with their sandwiches, since I've been eating them for lunch for several years. That was my edge on Bildner's: I had firsthand information that they had the best bread and the best sandwiches in Boston.

The story was that Bildner's was planning to expand into other cities and was going public to raise the money. It sounded good to me. The company had carved out a perfect niche—the millions of white-collar types who had no tolerance for microwave sandwiches in plastic wrappers, and yet who also refused to cook.

Bildner's takeout already was the salvation of working couples who were too tired to set up the Cuisinart and yet who wanted to serve something that looked as if it could have been prepared in a Cuisinart for dinner. Before they went home to the suburbs, they could stop at Bildner's and buy the kind of designer meal they would have cooked themselves, if they were still cooking: something with French beans, béarnaise sauce, and/or almonds.

I'd fully researched the operation by wandering into the store across the street. One of the original Bildner's, it was clean, efficient, and full of satisfied customers, a regular yuppie 7-Eleven. I also discovered it was a fabulous money-maker. When I heard that Bildner's was planning to sell stock and use the proceeds to open more stores, I was understandably excited.

From the prospectus of the stock offering, I learned that the company was not going to burden itself with excessive bank debt. This was a plus. It was going to